

CORPORATE COMMITTEE 29 JANUARY 2026

Report title: Update on the Council's Action Plan response to the External Auditor Recommendations under paragraph 2 of Schedule 7 of the Local Audit and Accountability Act 2014

Wards: All

Portfolio: Leader of the Council: Councillor Claire Holland

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REPORT SUMMARY

The purpose of this report is to present the regular update to the Council's Action Plan in response to the Section 24 Recommendations received from the Council's External Auditors, Forvis Mazars, with progress updates on the detailed actions arising from the Action Plan. Full Council delegated authority to Corporate Committee to oversee progress and delivery of the Action Plan. The updated Action Plan is attached in Appendix A.

FINANCE SUMMARY

The Section 24 Recommendations received from the Council's external auditors, Forvis Mazars, relate to the Council's financial position and cover the financial year 2024-25, the budget for 2025-26, the Medium-Term Financial Strategy (MTFS) period, the Council's reserves position and the Council's progress on the financial considerations of the decision to bring Homes for Lambeth in house.

As reported at the last Corporate Committee, some of these actions were already being taken, with further actions both implemented and planned to address the financial challenge the council is facing and as part of enhancing the existing budget planning, monitoring, and reporting arrangements. The detailed existing and additional actions that form part of the Council's response, are set out in Appendix A. There are a number of actions that are linked to the Q3 Financial Performance Report and 2026-27 budget and MTFS report that will be reported in the next progress update report to the March Corporate Committee.

RECOMMENDATIONS

1. To consider and review the progress set out in the Action Plan (Appendix A) and agree to close actions where indicated.

1. CONTEXT

- 1.1 As well as giving an opinion on the financial statements and assessing the arrangements for securing economy, efficiency, and effectiveness in the Council's use of resources, the external auditors have additional powers and duties under the Local Audit and Accountability Act 2014. These include powers to issue a public interest report, make written recommendations, apply to the Court for a declaration that an item of account is contrary to law, and to give electors the opportunity to raise questions about the Council's accounts and to raise objections received in relation to the accounts.

2. PROPOSAL AND REASONS

- 2.1 The Action Plan attached at Appendix A updates the Corporate Committee on the progress made in response to the external auditors Forvis Mazars written recommendations, issued under section 24 and Schedule 7 of the Local Audit and Accountability Act 2014 and sets out further detail on the actions being taken. This is a standing agenda item.
- 2.2 The external auditor has acknowledged that the Council is in an extremely challenging financial situation and has significant demand pressures on its general fund services, in particular Temporary Accommodation, and further financial pressures on the Housing Revenue Account.
- 2.3 The Action Plan sets out the detailed actions and improvements that relate to the Council's financial position and covers the financial year 2024-25, the budget for 2025-26 and the Medium-Term Financial Strategy period, the Council's reserves position and the Council's progress on the financial considerations of the decision to bring Homes for Lambeth in house.
- 2.4 The Council continues to face unprecedented pressure on its finances as a result of the real terms cuts in government funding since 2010. In that time, the Council's funding has fallen by more than 28%, while demand for our services has increased and the inflation rate has been at a generational high. There is now the equivalent of £116m a year less to spend on local services. Whilst in recent years we have seen increases in core spending power, these do not bring us back to former funding levels in real terms neither have these kept pace with increases in the demand for our services. In particular, as a result of the housing crisis, demand for temporary accommodation has reached unprecedented levels across London and taken up greater amounts of London boroughs' budgets. We also continue to face demand pressures in the key areas of adults and children's social care. The Council's financial planning has also been frustrated by a series of one-year settlements in previous years and the multi-year settlement announced as part of the Provisional Local Government Finance Settlement is therefore welcome.
- 2.5 Significant work has been undertaken, both before and since the statutory recommendations were issued in February 2025, to improve the financial stability of the Council. However, whilst these actions have been agreed and implemented at pace, it is clear that they will take time to have an impact on the financial position of the Council. Work includes:
- Plan to rebuild the reserves through the MTFS (£15m a year)
 - Early approval of savings

- Addressing the issue of ensuring that the cost of debt is adequately factored into the budget for 2026/27 onwards – this was one of the main reasons the overspend last year increased so significantly and it has been addressed.
- A pause on the capital programme to reduce borrowing costs.
- Third party external review of the MTFS to provide independent assurance and recommendations for further improvements.
- External commissions on demand-led services to drive down costs.
- A comprehensive review of all fees and charges and commercial income to build realistic and achievable increased income budgets
- Implementation of a flexible use of capital receipts policy so that we can fund relevant revenue spend from the receipts to reduce the overspend.
- Spend controls with stricter controls planned on approval limits.

2.6 We are also building a pipeline of the asset disposals to fund transformation work as part of the implementation of a flexible use of capital receipts policy.

2.7 An Exceptional Financial Support (EFS) application has been submitted to the Government to assist the Council in returning to a financially sustainable position and to allow sufficient time for the service redesign and transformation to take effect in reducing spend. We plan to fund any EFS through the disposals programme and not through borrowing over the medium term.

2.8 Furthermore, as set out in the last published Financial Performance report (Q2), it should be noted that whilst the Council is reporting an overspend for 2025-26, it is significantly lower than the year end position in 2024-25 and the key demand-led areas are not increasing month on month.

2.9 The Committee will continue to receive a regular report on progress against the detailed actions as the Action Plan attached at Appendix A is a standing item on the agenda. Actions that have been implemented and closed are summarised below and also moved to the end of the table and greyed in Appendix A.

2.10 Due to the timing of the Committee (January) in comparison to Cabinet (late February) our opportunity to report further financial impact from continued activity is limited in this update. A full update on the impacts of the work to address the statutory recommendations will be reported to Committee in March 2026.

2.11 At the last meeting the Committee agreed the closure of a number of the recommendations as they were assured of the actions taken to implement them. The appendix sets out the action plans for the remaining recommendations. The following table contains the actions closed by the Committee.

Ref:	Summary of actions	Reason for closure
SR1 - 01	Savings and efficiencies in 2024-25 to be identified as part of the Council's budget monitoring and reporting arrangements	Savings and efficiencies were identified, and expenditure reductions were achieved across service directorates, although these were offset by increases in corporate costs. Outcome and impact reported to Corporate Committee.

Ref:	Summary of actions	Reason for closure
SR1 - 02	To continue to operate spending control arrangements to minimise avoidable staffing and non-staffing expenditure during 2024-25.	Spend controls remain fully operational; they are regularly monitored and impact for Q1 and Q2 have been reported to Corporate Committee.
SR2 - 02	Provide monthly budget monitoring reports setting out the revenue and capital position, including income and debt recovery, savings and management actions.	Monthly Financial Performance reports are presented to Directorate Management Teams, and these arrangements have been enhanced and improved to include revenue, capital position, income, debt recovery, savings and management actions. Outcome and impact reported to Corporate Committee.
SR2 - 03	Provide comprehensive quarterly finance monitoring reports to Cabinet and Scrutiny.	The format and content of the quarterly Financial Performance reports have been reviewed to ensure they provide information clearly and transparently to ensure informed decision making, are sufficiently focussed on the key financial information and analysis and set out clearly the actions taken and planned to improve the Council's financial position. Outcomes and impact reported to Corporate Committee.
SR2 - 04	Produce a monthly savings tracker to monitor and report on delivery progress and any identified risks and mitigations.	A monthly savings tracker is in place, detailing all the agreed savings for 2025-26. The savings tracker is a standing agenda item at the Finance and Transformation Board and shared with Cabinet Members. The savings tracker is incorporated into the quarterly Financial Performance reports to Cabinet. Outcome and impact reported to Corporate Committee.
SR2 - 05	Identify and deliver agreed management actions that are required to offset any in-year pressures. Actions to include: Early reporting of year-end forecast for 2025/26 (month 2 position) to Cabinet, including management actions being taken and planned to bring down spend. Regular monthly reporting to the Finance & Transformation Management Board which meets fortnightly. Monthly reporting to Cabinet Members	All actions complete. Early reporting of year-end forecast was presented to Cabinet in July 2025. As above, regular, comprehensive financial reporting is in place for the Finance & Transformation Management Board, Informal Cabinet and published publicly through formal Cabinet. Outcome and impact reported to Corporate Committee.

Ref:	Summary of actions	Reason for closure
	Quarterly reporting on savings delivery progress to Cabinet as part of the Council's Financial Performance Report	
SR2 - 06	Spending controls to be in place to limit avoidable non-essential spend.	Spend controls remain fully operational; they are regularly monitored and impact for Q1 and Q2 have been reported to Corporate Committee.
SR2 - 07	Specific spending controls and demand management actions in place across Housing, Children's Services and Adult Social Care to reduce in-year and future years overspends.	Service based panels are in place across Housing, Adult Social Care and Children's Services, to review and approve spend requests to meet identified need. Value for money considerations are required as part of the panels' decision making. External support for Temporary Accommodation, as well as Adult Social Care and Children's Services focussing on demand management and data led approaches for prevention and early intervention as part of the Council's Transformation Programme has been secured. As above, regular, comprehensive financial reporting is in place for the Finance & Transformation Management Board, Informal Cabinet and published publicly through formal Cabinet which demonstrate impact.
SR3 - 01	Review of General Fund reserves to be undertaken and recommendations implemented as part of the 2024-25 closing of accounts.	A review of the Council's General Fund reserves has been completed. The Medium-Term Financial Strategy reported to Cabinet in July included provision to increase General Fund Balances to 10% of net revenue expenditure (circa £45m) over a three-year period to restore financial resilience to the recommended levels.
SR4 - 01	Cost assumptions in the current MTFS to be updated to confirm the financial implications on the budget and wider financial position.	The cost assumptions in the MTFS were reviewed and updated to take account of cost pressures at both service and corporate level (e.g. debt costs) and planned management actions. The funding assumptions have been updated to reflect the Spending Review and Fair Funding Reforms. The MTFS Update report was presented to July Cabinet.

3. FINANCE

- 3.1 The financial implications arising from the recommendations in this report will be taken into account as part of the Council's existing budget setting, monitoring and reporting arrangements.

4. LEGAL AND DEMOCRACY

- 4.1 Following the delegation by Full Council to the Committee to monitor progress being made to implement the Council's response to the recommendations, confirmation is given that the Committee still retains the Constitutional power to do so by virtue of its following Terms of Reference:
- 4.2 To consider and subsequently approve the Council's Statement of Accounts and to consider any reports produced by the Corporate Director of Finance in accordance with the duty to make arrangements for the proper administration of the Council's financial affairs, but not in respect of the formulation of a plan or strategy which is a function of the Cabinet (and subject to final approval by the Council) or detailed operational matters which are within the purview of the Cabinet.
- 4.3 To review the draft annual statement of accounts for the Council and the Pensions Fund. Specifically, to consider whether appropriate accounting policies have been followed and whether there are concerns arising from the financial statements or from the audit that need to be brought to the attention of the Council. To consider the external auditor's report to those charged with governance on issues arising from the audit of the accounts, and then to formally approve the audited annual statement of accounts.
- 4.4 There is no legal reason why the Committee cannot adopt the Recommendation contained in this report.
- 4.5 There are no further comments from Democratic Services.

5. CONSULTATION AND CO-PRODUCTION

- 5.1 The Council's response to the external auditor's written recommendation is based on work that has been produced with the input of officers from across the council.

6. RISK MANAGEMENT

- 6.1 Any risk implications arising from this report will be considered and addressed as part of the Council's existing risk management arrangements.

7. EQUALITIES IMPACT ASSESSMENT

- 7.1 The Equality Act 2010 requires organisations exercising public functions to demonstrate that due regard has been paid to equalities in:
- Elimination of unlawful discrimination, harassment and victimisation and other conduct prohibited by the Equality Act 2010.
 - Advancement of equality of opportunity between people from different groups
 - Fostering of good relations between people from different groups
- 7.2 An Equalities Impact Assessment is not required for this report.

8. COMMUNITY SAFETY

8.1 There are no community safety implications arising from this report.

9. CHILD FRIENDLY LAMBETH

9.1 There are no child related implications arising from this report.

10. ORGANISATIONAL IMPLICATIONS

10.1 Any organisational implications arising from the Council's response to the written recommendation will be considered and addressed through the Council's normal governance and decision-making arrangements.

11. TIMETABLE FOR IMPLEMENTATION

11.1 Not applicable.

AUDIT TRAIL

Name and Position/Title	Lambeth Directorate	Date Sent	Date Received	Comments in paragraph:
Councillor Claire Holland	Leader of the Council	19.01.26	21.01.26	
Jacqueline Moylan, Interim of Finance	Resources	16.01.26	16.01.26	
Glenn Hammons, Interim Director of Finance	Resources	16.01.26	16.01.26	
Andrew Pavlou, Legal Services	Communities, Governance and Change	19.01.26	20.01.26	
Chloe Morris, Democratic Services	Resources	21.01.26	21.01.26	

REPORT HISTORY

Report deadline	16.01.26
Date final report sent	21.01.26
Part II Exempt from Disclosure/confidential accompanying report?	No
Key decision report	No
Date first appeared on forward plan	Not applicable
Key decision reasons	Not applicable.
Background information	Local Audit and Accountability Act 2014 Council Response to the External Auditors Written Recommendations Final Appendix A Recommendations under paragraph 2 of Schedule 7 of the Local Audit and Accountability Act Appendix B Council Response to the External Auditors Recommendations.pdf Public Notice.pdf
Appendices	Appendix A – Action Plan